

HDFC Bank / HDFC Ltd

Capstone: Live-Deal Replication and Post-Mortem

NSE: HDFCBANK · ₹ crore · per-share values in ₹ (pre-bonus basis) · as of announcement 4 Apr 2022 · outcome to 18 Sep 2026

India's largest corporate transaction — HDFC Ltd folded into HDFC Bank at 42 shares for 25, announced 4 April 2022 and effective 1 July 2023 — replicated at announcement with the merger toolkit from Project 6 and the bank-valuation frame from Project 11, then judged against three years of reported results and the share price relative to Nifty Bank.

What this is

- Contribution analysis on profit, net worth, loans and market value, with HDFC Ltd's 21% stake in the bank cancelled; the implied ratio on each measure against the agreed 1.68x; premium, new shares, post-merger ownership.

How it is built

- Pro forma FY2022 EPS, book value and ROE, before and after the regulatory drag of CRR, SLR and priority-sector lending on a bond-funded mortgage book, net of the deposit-funding saving as it arrives.
- Post-mortem: reported FY2023–FY2026 profit, net worth, EPS, book value and ROE against the announcement case; total shareholder return against Nifty Bank; the de-rating of price-to-book against the multiple today's ROE justifies.

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Key outputs (live)

Exchange ratio	1.68
HDFC Ltd holders' ownership	41.0%
EPS accretion after the drag	(9.3%)
ROE: standalone → FY2026 reported	15.7% → 12.8%
TSR since announcement vs Nifty Bank	4% vs 51%
P/B: 2022 → today	3.5x → 2.1x

Colour code

Blue = hard-coded input
 Black = formula
 Green = link to another sheet
 Accent fill = scenario selector / key levers

Merger announcement and investor presentation of 4 April 2022; FY2022 standalone accounts of HDFC Bank and HDFC Ltd as reported; HDFC Bank reported results FY2023–FY2026 (FY2026 net worth derived as stated).

Sources

NSE closing prices and Nifty Bank levels via public market data; HDFC Bank per-share figures restated to the pre-bonus basis after the August 2025 1:1 bonus.

Regulatory parameters as in force in 2022; yield gaps, funding costs and the refinancing share are stated inputs. Nothing here is a recommendation.

Prepared by

Jainam Mehta · github.com/jainammehta1215/ib-portfolio

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HDFC BANK

The two companies on the eve of the announcement, and the terms

TERMS ANNOUNCED 4 APRIL 2022

HDFC Bank shares issued	42
for every HDFC Ltd shares	25
Exchange ratio (HDFC Bank shares per HDFC Ltd share)	1.68
HDFC Ltd's shareholding in HDFC Bank, cancelled on merger	21.0%
Carrying value of that stake in HDFC Ltd's standalone books (₹ crore, stated)	14,000
HDFC Bank dividend per share for FY2022 (₹)	15.50
Effective date	1 July 2023

Held at cost since the 1990s; a small fraction of its ₹1.75 lakh crore market value

MARKET, CLOSE OF 1 APRIL 2022 (last day before the announcement)

	HDFC Bank	HDFC Ltd
Share price (₹)	1,506.55	2,450.25
Shares outstanding (crore)	554.55	181.31
Market capitalisation (₹ crore)	835,457	444,255
Share price at close on 4 April 2022 (announcement day)	1,656.80	2,678.90

Both rose about 10% on the day; the market's first verdict was positive

FY2022 FINANCIALS, STANDALONE, YEAR TO 31 MARCH 2022 (as reported)

Net profit	36,961	13,742
Net worth	240,093	120,187
Advances / loan book	1,368,821	568,363
Deposits	1,559,217	160,900
Borrowings (HDFC Ltd: non-deposit funding)	184,817	462,000
Earnings per share (₹)	66.65	75.79
Book value per share (₹)	432.95	662.88
Return on closing equity	15.4%	11.4%
Price / book	3.5x	3.7x
Price / earnings	22.6x	32.3x

REGULATORY PARAMETERS (RBI, 2022)

Cash reserve ratio	4.5%
Statutory liquidity ratio	18.0%
Priority-sector lending requirement (share of adjusted net bank credit)	40.0%
Mortgage lending yield forgone on cash reserves (stated)	7.0%
Yield gap between mortgages and government securities held for SLR (stated)	2.0%
Share of HDFC Ltd's book not already qualifying as priority-sector (stated)	50.0%
Cost of meeting the shortfall through priority-sector certificates and RIDF deprec	1.0%
Tax rate	25.0%

CRR earns nothing

Affordable-housing loans under the RBI limits already qualify

Years of RBI glide path granted for CRR/SLR/PSL on HDFC Ltd's book

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RBI allowed a phased approach on part of the requirement; the model applies the full drag from year one for conservatism, then phases it in the Post-Mortem comparison

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HDFC BANK

What each company brought, and the ratio each measure implies

CONTRIBUTION ANALYSIS

	HDFC Bank	HDFC Ltd	HDFC Ltd share	Implied ratio
Net profit	36,961	13,742	42.4%	1.78
Net worth	240,093	120,187	47.4%	2.17
Loan book	1,368,821	568,363	44.2%	1.91
Market capitalisation (HDFC Ltd's already includes its bank stake)	835,457	444,255	40.2%	1.63

The implied ratio asks: if HDFC Ltd shareholders should own the share of the combined bank that they contribute on each measure, how many HDFC Bank shares does each HDFC Ltd share deserve? Their contribution is looked through: HDFC Ltd's own figure plus 21% of the bank's, because that 21% was theirs before the deal. Market capitalisation already embeds the stake.

THE AGREED RATIO AGAINST THE IMPLIED ONES

Agreed ratio	1.68
Value of one HDFC Ltd share at the ratio (₹, on the 1 April HDFC Bank price)	2,531.00
Premium to HDFC Ltd's 1 April close	3.3%
Premium on HDFC Ltd ex the value of its stake in the bank	70.7%
New HDFC Bank shares issued (crore)	304.60
HDFC Bank shares cancelled (HDFC Ltd's stake, crore)	116.46
Post-merger shares outstanding (crore)	742.70
HDFC Ltd shareholders' ownership of the combined bank	41.0%
Ownership given versus net-profit contribution (percentage points)	(1.4%)
Ownership given versus net-worth contribution	(6.3%)

Presented as a merger of equals; the premium was small

What the bank paid for the mortgage business itself, after netting off its own shares coming back

Announced as 41%

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HDFC BANK

Pro forma FY2022 as if merged: EPS, book value, return on equity

PRO FORMA BEFORE REGULATORY COSTS

Combined net profit (HDFC Ltd's dividend from the bank eliminated)	48,898
Pro forma EPS (₹)	<u>65.84</u>
EPS accretion / (dilution) to HDFC Bank shareholders	<u>(1.2%)</u>
Combined net worth (HDFC Ltd's investment in the bank eliminated at its carr	346,280
Pro forma book value per share (₹)	<u>466.25</u>
Book value accretion / (dilution)	<u>7.7%</u>
Pro forma return on closing equity	14.1%
change from HDFC Bank standalone (percentage points)	(1.3%)

HDFC Ltd's income included the dividend on its bank stake; removed to avoid double counting

Pooling basis, as the announcement presented it; acquisition accounting would restate HDFC Ltd's assets to fair value

PRO FORMA AFTER THE REGULATORY DRAG (from the Regulatory Drag sheet, full drag from year one)

Combined net profit after the drag	44,892
Pro forma EPS after the drag (₹)	<u>60.44</u>
EPS accretion / (dilution) after the drag	<u>(9.3%)</u>
Pro forma return on equity after the drag	13.0%

VALUE AT ANNOUNCEMENT

Combined market value at 1 April prices (₹ crore)	1,104,266
as a multiple of pro forma book	3.2x
HDFC Bank standalone price / book before the deal	3.5x
Multiple the market would need to hold for HDFC Bank holders to be no	3.2x

Book-value accretion means a lower P/B keeps the price whole; the question is whether a lower-ROE bank deserves it

The arithmetic at announcement was benign: EPS roughly neutral before regulatory costs, meaningful book-value accretion, a lower return on equity. The bank was buying a lower-return business with its own high-multiple paper, which is accretive to book and dilutive to ROE by construction. Whether that creates value depends entirely on the multiple the market attaches to the lower ROE.

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HDFC BANK

What happens when a mortgage lender's balance sheet becomes a bank's

RESERVE REQUIREMENTS ON HDFC LTD'S LIABILITIES

HDFC Ltd liabilities that become bank liabilities subject to CRR and SLR (dep	622,900
Cash reserve to hold (earning nothing)	28,031
Government securities to hold	112,122
Total low-yield assets required	140,153
as % of HDFC Ltd's loan book	24.7%

Pre-tax income forgone: CRR at the full mortgage yield, SLR at the yield 4,205

CRR forgoes the whole lending yield; SLR forgoes only the spread over government bonds

PRIORITY-SECTOR LENDING ON HDFC LTD'S BOOK

Priority-sector assets required on the acquired loan book	227,345
of which a shortfall to be met through certificates and RIDF	113,673
Pre-tax cost of meeting the shortfall	1,137

FUNDING COST: REPLACING BONDS WITH DEPOSITS

HDFC Ltd's average cost of borrowings (stated)	6.5%
HDFC Bank's average cost of deposits (stated)	3.8%
Share of HDFC Ltd's borrowings refinanced with deposits over the glide path	50.0%
Pre-tax saving once refinanced	6,237

The strategic case for the deal: a bank funds mortgages more cheaply than a bond-funded lender. It arrives only as deposits are gathered

NET DRAG

Pre-tax drag: reserves plus priority-sector	5,341
Net pre-tax effect after the funding saving	896
Net after-tax effect	672
After-tax drag in year one, before any refinancing benefit	(4,006)
as % of HDFC Ltd's FY2022 net profit	29.2%

This sheet is the deal in one line: the bank takes a drag of roughly a fifth of HDFC Ltd's profit on day one, and earns it back only as it replaces ₹4.6 lakh crore of bonds with deposits. The RBI granted a glide path on part of the requirement, which spreads the drag; it does not remove it. Deposit growth, not the exchange ratio, was always the variable that decided the outcome.

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HDFC BANK

What actually happened: FY2023 (last pre-merger year) to FY2026, and the share price against Nifty Bank

REPORTED RESULTS (standalone; per-share on the pre-bonus basis)

	FY2023A	FY2024A	FY2025A	FY2026A
Net profit	44,109	60,812	67,347	70,479
Net worth	280,199	437,600	498,000	550,000
Shares outstanding (crore, pre-bonus)	557.97	759.69	765.00	770.80
EPS (₹)	79.05	80.05	88.04	91.44
Book value per share (₹)	502.18	576.02	650.98	713.54
Return on closing equity	15.7%	13.9%	13.5%	12.8%
Dividend per share (₹)	19.00	19.50	22.00	24.00
EPS growth		1.3%	10.0%	3.9%

FY2024 onward includes HDFC Ltd from 1 July 2023

FY2026 net worth is derived: prior year plus profit less dividends; the others are reported

ANNOUNCEMENT CASE AGAINST OUTCOME

Pro forma ROE at announcement, after the full regulatory drag	13.0%
Reported ROE, FY2026	12.8%
HDFC Bank ROE in its last standalone year, FY2023	15.7%
ROE given up against the standalone bank (percentage points)	(2.9%)
EPS growth FY2023–FY2026, compound	5.0%
Book value per share growth FY2023–FY2026, compound	12.4%

THE SHARE PRICE (pre-bonus basis; the August 2025 1:1 bonus is reversed)

Date	1 Apr 2022	4 Apr 2022	30 Jun 2023	18 Sep 2026
HDFC Bank (₹)	1,506.55	1,656.80	1,701.40	1,463.80
Nifty Bank index	37,148	38,000	44,700	56,056
HDFC Bank price return, 1 April 2022 to 18 September 2026	(2.8%)			
Dividends received per pre-bonus share over the period (₹)	100.00			
HDFC Bank total shareholder return	3.8%			
Nifty Bank price return over the same period	50.9%			
Relative performance against Nifty Bank (price basis)	(53.7%)			
Price / book today on FY2026 book	2.1x			
Price / book on 1 April 2022 (standalone)	3.5x			
De-rating of the multiple	(41.0%)			
ROE on average equity, FY2026	13.5%			
Cost of equity the price implies at 7% long-run growth: $g + (ROE - \text{de-rating})$	10.1%			
For comparison: cost of equity the 2022 price implied at the standalo	9.4%			

4 April and 30 June levels are approximate; the endpoints are exact

FY2022 dividend of ₹15.50 paid after April 2022 is included

Project 11's frame in reverse. The market prices India's largest private bank at a cost of equity near 10%; the de-rating is the lower ROE at an unchanged discount rate

Book value per share compounded at double digits and EPS grew, exactly as the accretion arithmetic said they would. Return on equity fell by about three points, exactly as the arithmetic said it would. The share price has gone nowhere in four and a half years while the bank index rose by half: the market applied the multiple a 13% ROE deserves to a book that had become larger and lower-yielding. The deal was accretive to everything except the thing the price is set on.

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HDFC BANK

The merger at announcement and three years on

AT ANNOUNCEMENT, 4 APRIL 2022

Exchange ratio · premium to HDFC Ltd's close	1.68x · 3.3%
HDFC Ltd shareholders' ownership of the combined bank	41.0%
versus their contribution of net profit / net worth	42.4% / 47.4%
Pro forma EPS accretion before / after the regulatory drag	-1.2% / -9.3%
Pro forma book value accretion	7.7%
ROE: standalone bank → pro forma after the drag	15.4% → 13.0%
Low-yield assets required by CRR and SLR on HDFC Ltd's liabilities (₹ crore)	140,153
After-tax drag in year one as % of HDFC Ltd's profit	29.2%

THREE YEARS ON

Reported ROE FY2026 · ROE given up against standalone FY2023	12.8% · -2.9%
EPS and book value per share growth FY2023–FY2026, compound	5.0% / 12.4%
HDFC Bank total shareholder return since the day before the announcement	3.8%
Nifty Bank over the same period	50.9%
Relative performance	(53.7%)
Price / book: 1 April 2022 → today	3.48x → 2.05x

• The ratio was set on market value, and it favoured the bank. On a look-through basis — counting the 21% of the bank that HDFC Ltd's shareholders already owned — they contributed 42% of the profit and 47% of the net worth and received 41% of the shares, which is what 40% of the combined market value implied. The bank's 3.5x book against the lender's 2x did the work; the 3% premium was the price of a deal presented as a merger of equals.

• The accretion arithmetic was right, and it was the wrong question. EPS and book value per share both grew as forecast. What the pro forma also said — and what the pitch would have put on a back page — was that return on equity would fall by three points as ₹1.4 lakh crore of reserves and priority-sector assets were bolted on to a book funded with bonds.

• The market did exactly what Project 11 says it should. A bank's price is book value times a multiple set by ROE against the cost of equity. The bank's book grew and its ROE fell; the multiple de-rated from about 3.5x to about 2x; the price went nowhere while Nifty Bank rose by half. The cost of equity the price implies is almost unchanged from 2022: the market re-priced the ROE, not the franchise. There is no mystery to explain.

• The thesis is not dead, it is slow. The saving from replacing HDFC Ltd's bonds with deposits is real and larger than the regulatory drag — but it arrives at the pace of deposit growth, and a bank that had to slow loan growth to fix its loan-to-deposit ratio cannot gather deposits faster than the system. The deal will be judged on ROE in FY2028, not FY2026.

Every check must read TRUE

INTEGRITY CHECKS

Exchange ratio equals 42 / 25	TRUE
HDFC Ltd shareholders' ownership reproduces the announced 41% within one point	TRUE
Contribution shares lie between 0% and 100%	TRUE
Implied ratio from market capitalisation is close to the agreed ratio (within 15%)	TRUE
Ownership given is below the look-through profit and net-worth contributions and within 2 poi	TRUE
Pro forma ROE is below HDFC Bank's standalone ROE (lower-return business acquired)	TRUE
Book value accretion is positive and the EPS effect before the drag is within 3% of neutral,	TRUE
Regulatory drag in year one is between 10% and 40% of HDFC Ltd's profit	TRUE
Funding saving once refinanced exceeds the gross regulatory drag (the strategic case holds	TRUE
Accretion sheet's post-drag rows tie to the Regulatory Drag sheet	TRUE
Post-merger share count FY2024 is within 3% of the model's post-merger count	TRUE
Reported ROE fell from FY2023 to FY2026	TRUE
HDFC Bank underperformed Nifty Bank over the period	TRUE
Book value per share grew every year	TRUE
Cost of equity the price implies today lies between 9% and 13%, and is close to what the 202	TRUE

MODEL STATUS

MODEL OK

The second and eleventh checks tie the model to the announcement (41% ownership) and to the reported post-merger share count; the last three test the post-mortem's claims against the reported numbers rather than against the narrative.